

Continental Merchant Bank Ltd. — Corporate Banking Branch, Hyderabad*Internal Credit File — Confidential***Deccan Auto Components Pvt. Ltd.***Working Capital Facility — Cash Credit Account No. CC/2024/0187*

Illustrative / synthetic credit file created for training and demonstration purposes (e.g., testing retrieval-augmented generation systems). All names, figures, and details are fictional and do not correspond to any real borrower, bank, or transaction.

1. Facility Overview

Borrower	Deccan Auto Components Pvt. Ltd., Patancheru Industrial Area, Hyderabad
Facility Type	Cash Credit (CC) against hypothecation of stock and book debts
Account No.	CC/2024/0187
Sanctioned Limit	₹6,50,00,000
Rate of Interest	Repo-Linked Lending Rate (RLLR) + 2.75%, reset quarterly
Sanction Date	18 April 2024 (renewal of existing limit)
Review Due Date	17 April 2025 (annual review cycle)
Primary Security	Hypothecation of raw material, stock-in-process, finished goods, and book debts up to 90 days
Collateral Security	Equitable mortgage of factory land and building at Patancheru (extent 2.1 acres); personal guarantee of two promoter-directors
Relationship Manager	Mr. Kiran Vardhan, Senior Manager — Corporate Banking

2. Borrower Profile

Deccan Auto Components Pvt. Ltd. is a manufacturer of precision-machined auto components supplying to two-wheeler and passenger vehicle OEMs in the Hyderabad-Chennai auto corridor. The company was incorporated in 2011 and has banked with Continental Merchant Bank since 2015. The account has been classified as a Standard Asset throughout the relationship, with no history of restructuring or default.

The borrower's revenue is seasonal, with peak working capital requirement typically between October and February coinciding with pre-festive and year-end OEM order cycles.

3. Drawing Power Computation (as of latest stock statement)

Component	Value	Margin / Notes
Raw material stock	₹2,10,00,000	25% margin applied
Stock-in-process	₹85,00,000	25% margin applied
Finished goods	₹1,40,00,000	25% margin applied
Book debts (up to 90 days)	₹3,20,00,000	40% margin applied
Gross Drawing Power	₹5,04,75,000	As per stock statement dated 31 Jul 2025
Outstanding as of 31 Jul 2025	₹4,72,30,000	Within drawing power; no irregularity

4. Chronology of Account Activity

Date	Event	Notes
18 Apr 2024	Annual renewal sanctioned	Limit enhanced from ₹5,50,00,000 to ₹6,50,00,000 based on turnover growth
15 Jul 2024	First quarterly stock audit (FY25)	No adverse observations; drawing power computation found accurate
10 Oct 2024	Peak-season temporary limit request	Ad-hoc limit of ₹75,00,000 sanctioned for 90 days to cover festive-season order buildup
8 Jan 2025	Ad-hoc limit expired and adjusted	Temporary limit closed on schedule; no carry-forward irregularity
20 Jan 2025	Second quarterly stock audit (FY25)	Minor observation on ageing of book debts beyond 90 days for one OEM customer; flagged for monitoring
22 Apr 2025	Third quarterly stock audit (FY25)	Ageing concern from January resolved; customer payment regularized
31 Jul 2025	Fourth quarterly stock audit (FY25)	Account operating within drawing power; no irregularities observed

5. Documents on Record

Document	Description	Status
Sanction letter	Dated 18 Apr 2024, terms and conditions of renewed CC limit	Executed and on file
Hypothecation agreement	Covers stock and book debts as primary security	Executed; renewed alongside sanction
Equitable mortgage documents	Factory land and building, Patancheru	Original title deeds deposited; valuation report dated Mar 2024 on file
Personal guarantee deeds	Two promoter-directors	Executed and on file
Latest audited financials	FY 2023–24 audited statements	On file; FY 2024–25 provisional financials awaited for upcoming review
Insurance policy	Fire and burglary cover on hypothecated stock and factory premises	Valid till 31 Dec 2025; bank noted as loss payee

6. Covenant Compliance Summary

Covenant	Threshold	Status (as of latest financials)
Current Ratio	Minimum 1.20	1.34 — compliant
Total Outside Liabilities / Tangible Net Worth (TOL/TNW)	Maximum 3.00	2.65 — compliant
Debt Service Coverage Ratio (DSCR)	Minimum 1.25	1.41 — compliant
Quarterly stock statement submission	Within 15 days of quarter end	Compliant for all four quarters of FY25

7. Risk Assessment and Watchlist Status

Account is classified as Standard, low-risk, with no watchlist flags as of the latest review. The account has consistently operated within sanctioned limits and drawing power, with covenant metrics comfortably within thresholds. The only historical observation (ageing of one OEM customer's receivables, noted January 2025) was resolved within one quarter and did not recur.

8. Current Status

The facility is due for its annual review by 17 April 2025 cycle (next review: April 2026 following the current renewal). All quarterly stock audits for FY25 have been completed with no material adverse findings. Provisional FY 2024–25 financials are awaited from the borrower to support the upcoming annual review process.

9. Next Steps

- Obtain provisional FY 2024–25 financials from borrower by 15 September 2025 for internal credit review preparation
- Schedule fifth stock audit (first of FY26) for October 2025, aligned with peak-season ad-hoc limit request expected around the same period
- Renew fire and burglary insurance policy before 31 Dec 2025 expiry and confirm bank's loss payee clause is retained
- Monitor receivables ageing for the OEM customer flagged in January 2025 during the next stock audit cycle

10. Internal Notes (Confidential)

Relationship Manager has indicated the borrower may request a limit enhancement to ₹8,00,00,000 at the next annual review, citing a new OEM contract under negotiation. Credit team should independently verify the new contract's finalization status before considering any enhancement, given it is not yet reflected in current financials.

11. Key Contacts

Name	Role	Organization
Mr. Ravi Teja Naidu	Managing Director	Deccan Auto Components Pvt. Ltd.
Mrs. Sunitha Naidu	Director (Finance)	Deccan Auto Components Pvt. Ltd.
Mr. Kiran Vardhan	Senior Manager, Corporate Banking	Continental Merchant Bank Ltd.
M/s. Ramesh & Associates	Statutory Auditor	Chartered Accountants, Hyderabad

12. Correspondence Log

Date	Correspondence	Summary
2 Apr 2024	Renewal request letter from borrower	Requested limit enhancement citing turnover growth, supporting the 18 Apr 2024 sanction
25 Sep 2024	Ad-hoc limit request letter	Requested temporary enhancement for festive season order buildup
5 Aug 2025	Email from borrower's finance team	Confirmed provisional FY25 financials would be shared by mid-September 2025

13. Regulatory and Internal Policy References

- Reserve Bank of India Master Circular on Prudential Norms on Income Recognition, Asset Classification and Provisioning — governs asset classification and provisioning framework applicable to this account
- Bank's Internal Credit Policy, Section 6 (Working Capital Assessment) — governs drawing power computation methodology used in Section 3

- Bank's Internal Credit Policy, Section 11 (Covenant Monitoring) — governs quarterly covenant review cadence and escalation thresholds

14. Glossary of Terms Used in This File

- Drawing Power (DP): the maximum amount a borrower can draw against a working capital limit, computed from stock and receivables after applying prescribed margins
- TOL/TNW: Total Outside Liabilities to Tangible Net Worth, a leverage covenant measuring total external liabilities against the borrower's tangible net worth
- DSCR: Debt Service Coverage Ratio, measuring a borrower's cash flow available to service debt obligations (principal and interest) for a given period
- SMA: Special Mention Account, an early-warning classification used to flag accounts showing signs of incipient stress before formal NPA classification

End of document. Internal reference: CMB-WC-2024-0187 (synthetic training corpus).